

THE EXIT ROUTE

OFS now accounts for a majority of start-up IPO proceeds—
signalling stronger investor exits than growth capital

Start-up	IPO size	Fresh issue	OFS
Groww	6,632	1,060	5,572
Lenskart	7,278	2,150	5,128
WeWork	3,000	0	3,000
Pine Labs	3,900	2,080	1,820
Urban Company	1,900	472	1,428
Meesho	5,421	4,250	1,171
Wakefit	1,289	377	912
Bluestone	1,541	820	721
Capillary Technologies	877.5	345	532.5
Physicswallah	3,480	3,100	380
Ather Energy	2,981	2,626	355
Aequus	922	670	252
Smartworks	582.5	445	137.5
IndiQube	700	650	50
DevX	143	143	0
ArisInfra	500	500	0

FIGURES IN ₹CRORE; SOURCE SEBI

matters more than timing.

“Ideally, companies entering public markets should have been Ebitda-positive for a meaningful period. What we are seeing instead is that some start-ups report profitability only in the run-up to listing, often driven by sharp cuts in discretionary spends such as marketing,” he says.

From an investor’s standpoint, the focus should be on companies that can stand on their own without relying on IPO capital.

CASH OUT, NOT IN

“For any business, the three essential metrics are growth, profitability, and governance. Yet, the rush to the IPO market is often driven less by these fundamentals and more by the need for liquidity for early investors,” says Padmaja Ruparel, co-founder of the Indian Angel Network.

That shift is visible in IPO structures. Of the ₹41,111 crore raised by 16 start-ups in 2025, ₹21,459 crore came via Offer for Sale (OFS), used by existing shareholders to exit their investments. Capex-driven growth is increasingly absent; IPOs are now largely liquidity events.

Aakash Agrawal, Head of Digital and New Age Busi-

ness at Anand Rathi Investment Banking, says this marks a structural change in ownership patterns. “This is the first time in India that we are seeing companies where founders hold well below 50% at the time of listing.”

As a result, IPOs are increasingly being used as exit routes. Yet, a key question remains: how will companies fund future expansion and create long-term value for public shareholders?

Agrawal argues that growth expectations need recalibration. “Companies do not need to grow at 100% year-on-year indefinitely. Most established businesses grow at a steady 10–15% annually, which is considered healthy.”

Post-IPO growth of 30–35%, he says, remains far higher than that logged by traditional listed companies. At that scale, growth depends less on capital deployment and more on market size and business maturity.

REALITY CHECK

Valuation remains the most contested battleground. Companies such as asset manager Groww and Lenskart, which listed at valuations of ₹60,000–70,000 crore,